www.tntextbooks.in

The co-efficient of elastic supply is greater than 1(E_s > 1). One percent change in the price of a commodity causes more than one per cent change in the quantity supplied of the commodity.

2. **Unitary elastic supply (see Diagram 3.13)**

The coefficient of elastic supply is equal to 1 (E_s = 1). One percent change in the price of a commodity causes an equal (one per cent) change in the quantity supplied of the commodity.

3. **Relatively inelastic supply (see Diagram 3.13)**

The coefficient of elasticity is less than one (E_s < 1). One percent change in the price of a commodity causes a less than one per cent change in the quantity supplied of the commodity.

4. **Perfectly inelastic supply (see Diagram 3.13)**

The coefficient of elasticity is equal to zero (E_s = 0). One percent change in the price of a commodity causes no change in the quantity supplied of the commodity.

5. **Perfectly elastic supply (see Diagram 3.13)**

The coefficient of elasticity of supply is infinity. (E_s = α). One percent change in the price of a commodity causes an infinite change in the quantity supplied of the commodity.

3.12.6 Factors governing elasticity of supply

1. **Nature of the commodity**

Durable goods can be stored for a long time. So, the producers can wait until they get a high price. Once they get higher price, larger supply is possible. The elasticity of supply of durable goods is high. But perishables are to be sold immediately. So perishables have low elasticity of supply.

2. **Cost of production**

When production is subject to either constant or increasing returns, additional production and therefore increased supply is possible. So elasticity of supply is greater. Under diminishing returns, increase in output leads to high cost. So elasticity of supply is less.

3. **Technical condition**

In large scale production with huge capital investment, supply cannot be adjusted easily. So elasticity of supply is lesser. Where capital equipment is less and technology simple, the supply is more elastic.

4. **Time factor**

During very short period when supply cannot be adjusted, elasticity of demand is very low. In short period, variable factors can be added and so supply can be adjusted to some extent. So elasticity of supply is more. In long period, even the fixed factors can be added and hence supply is highly elastic.

3.13 Conclusion

Production takes place with the view to fulfilling the demands of the consumers. Today consumption expands in a variety of ways. Hence, production has to necessarily expand